

Probably the most damaging behavioral mistake made by real-world investors is succumbing to the greed-and-fear cycle that causes someone to buy into the market at its peak and sell out at its lows. This natural cycle happens thus: when markets are doing well, investors get excited and pour more money into the market with the hope that this trend will continue indefinitely. Investors on the sidelines may become jealous of neighbors' gains and may worry that they are missing out. But a prolonged run-up generally leads to market valuations becoming misaligned, and it is reasonable to expect a reversal of fortune with lower returns in the future.

Nonetheless, popular culture will send repeated messages that this time is somehow different—it is a new economy with a new paradigm, the old rules no longer apply, and so on. It is tough to rebalance to your strategic asset allocation when markets are rising, because you have to sell shares of the biggest gainers in order to do so. But it is important to have the discipline to stick with your plans and objectives.

A reversal of the market direction is inevitable, causing market prices to plummet. Investors get nervous, and some, after seeing significant declines, become scared enough that they start selling off holdings.

Staying the course is an even greater challenge if you are experiencing cognitive decline. Unfortunately, this time in life calls for rebalancing to your strategic asset allocation, which would require buying assets with falling prices rather than selling them. This is a challenge, both emotionally and intellectually.

Exhibit 9.3

Behavioral Cycle of Investing